



ACCOUNTS PAYABLES ANALYSIS

In this section, we take a look at Accounts Payable. We saw that Inventory and Accounts Receivables have been increasing.

Accounts payable

Accounts Payable/ Sales	6.30%	7.50%	7.94%	8.24%	11.16%
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DSP	51.04	57.31	55.19	64.58	80.69
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Check supplier bargaining power and risk on future supplies in case of late payment

Cash purchases vs Credit purchases

Check actual credit terms with DSP. If DSP is high, shows

We see that Accounts Payable is also increasing as a percentage of sales. From 30% in FY 2017, it reaches 11.16% in FY 2021. This means that the company is in a position where it is able to get longer credit terms. This shall bring down the working capital investment that the company requires.

Credit received from other players is also increasing. Earlier, they were getting credit for 21 days in FY 2017, which slowly and steadily increased to 81 days in FY 2021. The company had increased working capital requirements due to increasing day sales and accounts receivables. However, a large part was offset by credit received from suppliers. This is why the working capital investment by the company did not go up. If the suppliers did not provide extended credit terms, the company would have to fund the increased accounts receivables and inventory by themselves.



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